Labor Supply, Risk Aversion, and Conflict Uncertainty

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Motivation

- People weigh losses more than gains: *S*-shaped value function (Kahneman & Tversky, 1979).
  - Risk perception shapes choices: environmental, policy, and health risks (Ryan, 2012; Keeler, 1994; Currie et al., 2015).
- Conflicts are an increasingly important source of risk with tangible economic effects (Caldara & Iacoviello, 2022, 2026).
- These two literatures have mostly lived separate lives:
  - Does **conflict uncertainty** change individual choices *by altering risk perception*?
- **Key idea:** conflict uncertainty re-frames the labor-leisure choice.
  - Normal times: supplying labor is perceived as the "safe" choice.
  - Under conflict risk: working becomes a gamble (commuting disruption, separation from family, firm instability).
  - Aversion to that specific risk → measurable **decrease in labor supply**.

Motivation

A Clear Tension

The "Economic" Agent

- Precautionary motive (Leland, 1968; Sandmo, 1970; Kimball, 1990)
- Uncertainty $\uparrow \Rightarrow$ build savings to self-insure
- Prediction: work **more**

The "Behavioral" Agent

- Loss aversion (Kahneman & Tversky, 1979)
- Fear activates loss aversion (Loewenstein, 2000; Caplin & Leahy, 2001)
- Working = the risky option $\Rightarrow$ work **less**

Our quasi-natural experiment

Russia's largely unexpected 2014 incursion into Ukraine. We use **proximity to the Ukrainian border** (Poland, Hungary, Slovakia) as a plausibly exogenous proxy for exposure to conflict uncertainty, i.e., health, safety & environmental (HS&E) risks.

When the source of uncertainty is a salient physical threat, which response dominates?

This Paper

- **Intuition:** stylized two-period prospect-theory model
  - Conflict risk $\theta \uparrow \; \Rightarrow$ effective loss aversion $f(\theta) \uparrow$ (*perceived* risk aversion)
  - $\Rightarrow$ optimal labor supply $L_1^* \downarrow$ (*revealed* risk aversion)
- **Identification:** difference-in-differences around 2014
  - Treated: residents of regions bordering Ukraine (PL, HU, SK)
  - Control: residents of interior regions in the same countries
- **Data:** European Social Survey (ESS), 11 waves, 2002–2023
  - 50,440 respondents in Poland, Hungary, Slovakia
  - Outcomes: *Working Choice* (paid work, last 7 days) and *Need To Avoid Unsafe Areas* (perceived risk aversion)

Summary of Results

- **Hypothesis I (revealed risk aversion):** after 2014, border residents are 3.5–4.0 pp less likely to work in paid jobs than non-border residents.
  - Working hours fall by 2.1–2.7% (Tobit, contracted hours).
- **Hypothesis II (perceived risk aversion):** border residents report a $\sim$2.5 pp increase in the need to avoid unsafe areas post-2014.
- **Mechanism:** the labor-supply decline is concentrated *entirely* among individuals reporting increased risk aversion; no effect for the others.
- Robust to: placebo locations & timing, Russia-border falsification, alternative clustering, additional controls, regional GDP, year/ESS-round FEs, pre-trend checks.

Baseline | Risk aversion | Mechanism | Robustness

Contributions

External shocks and risk preferences (Loewenstein et al., 1997; Hanaoka et al., 2018; Aragón et al., 2020)

Our contribution:

- *Unresolved* conflict uncertainty (not realized shocks) raises risk aversion.
- Link perceived → revealed risk aversion via labor supply.

▸ Related Literature (Appendix)

Conflict and risk aversion: mixed evidence (Callen et al., 2014; Voors et al., 2012; Bauer et al., 2016)

Our contribution:

- Conflict *uncertainty* drives risk aversion up. . .
- . . . whereas *realized* violence may have different implications.

Uncertainty and real activity (Jurado et al., 2015; Baker et al., 2016; Caldara & Iacoviello, 2022)

Our contribution:

- Salient physical (HS&E) threat: behavioral response dominates the precautionary one.
- HS&E risk as trigger for the loss-aversion channel.

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A Two-Period Model, in Words

- **Period 1:** agent chooses labor $L_1 \in [0,1]$ at wage w_1; no savings, $C_1 = w_1 L_1$.
  - Prospect-theory value over gains/losses relative to reference point R (Kahneman & Tversky, 1979; Kőszegi & Rabin, 2006) + standard CRRA utility from leisure.
- **Period 2:** conflict risk realizes. Bad state (catastrophic loss K) with probability $q(L_1)$, $q'(L_1) > 0$:
  - *Working during conflict is inherently riskier* (commuting, presence at exposed locations, separation from family).
- **Key assumption:** conflict risk θ acts as a *psychological trigger*:

$$\underbrace{\lambda_E \equiv f(\theta)}_{\text{effective loss aversion}}, \qquad f(\theta) \geq \lambda > 1, \quad f'(\theta) > 0$$

  - "Visceral factors" (fear, anxiety) intensify sensitivity to losses (Loewenstein, 2000; Caplin & Leahy, 2001).
  - No Arrow-Debreu securities against conflict risk $\Rightarrow$ the *only* margin of adjustment is behavior (Becker, 1968).

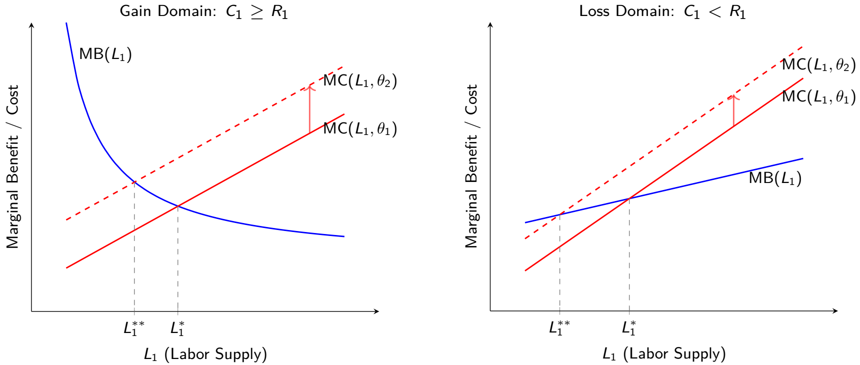
Formal derivations (Appendix)

The Mechanism: One First-Order Condition

The agent maximizes $U = U_1 + E[U_2]$. The FOC for labor is:

$$\underbrace{\alpha w_1 (w_1 L_1 - R_1)^{\alpha-1}}_{\text{MB of Labor (Gain in } C_1\text{)}} - \underbrace{(1 - L_1)^{-\sigma}}_{\text{MC (Loss of Leisure)}} - \underbrace{\delta f(\theta)(K)^{\beta} q'(L_1)}_{\text{MC (Future Loss)}} = 0$$

- θ appears *only* on the marginal-cost side.
- Conflict risk $\theta \uparrow \Rightarrow f(\theta) \uparrow \Rightarrow$ MC of working shifts up $\Rightarrow L_1^*$ **falls**.



Same prediction in both domains. Gain domain Loss domain

Two Testable Hypotheses

Remark 1
An increase in conflict risk (θ) leads to: (i) an increase in *perceived* risk aversion ($\lambda_E = f(\theta)$); and (ii) a decrease in optimal labor supply L_1^* (*revealed* risk aversion).

- **Hypothesis I** (Revealed) Increased conflict uncertainty reduces labor supply.
- **Hypothesis II** (Perceived) The fall in labor supply coincides with an increase in perceived risk aversion.

$$
\begin{tikzcd}
\begin{array}{c}\text{Proximity to}\\ \text{Ukraine border}\end{array} \arrow[r] & \begin{array}{c}\text{Need to Avoid}\\ \text{Unsafe Areas} \uparrow\end{array} \arrow[r] & \text{Labor Choice} \downarrow \\
\text{(Real Risks from Armed Conflicts)} \arrow[d, leftrightarrow] & \text{(Perceived Risk Aversion)} & \text{(Revealed Risk Aversion)} \\
\text{Health, Safety \& Environmental Risks} & &
\end{tikzcd}
$$

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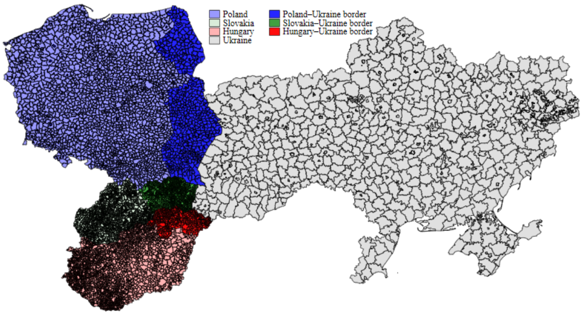
Identification: Proximity to the Ukrainian Border



- Treated regions (dark shading): Lubelskie, Podkarpackie, Podlaskie (PL); Borsod-Abaúj-Zemplén, Szabolcs-Szatmár-Bereg (HU); Koický kraj, Preovský kraj (SK).
- NUTS-2/NUTS-3 classification from the ESS.

Region mapping

Why Is This a Good Experiment?

- **Unexpected shock:** the 2014 incursion (Crimea, Feb.; armed conflict in eastern Ukraine by Apr.) was largely unanticipated by the general public.
  - No anticipatory relocation $\Rightarrow$ location relative to the border is plausibly exogenous to risk perceptions.
- **Tangible exposure gradient:** border residents face higher HS&E risks (stray missiles, infrastructure and economic deterioration; Poland alone shares 500+ km of border).
- **Perceived, not realized, risk:** we capture the effects of perceived risks (possibility of stray missiles and other negative externalities), not actual destruction.
- **Confounders:**
  - Hard to identify another 2014 event differentially affecting border regions.
  - Macro shocks absorbed by country FEs; placebo and falsification tests later. Robustness

Data: European Social Survey (ESS)

- Biennial face-to-face survey since 2002; $\geq$1,500 randomly selected respondents per country per wave (population aged 15+).
- Our sample: **Poland, Hungary, Slovakia** (Romania: no post-2014 data).
  - 11 waves: 2002–2023; **50,440 unique respondents**.
- Outcomes:
  - *Working Choice*: in paid work in the last 7 days (binary).
  - *Need To Avoid Unsafe Areas*: "important to live in secure surroundings; avoids anything that might endanger safety" (binary) $\rightarrow$ perceived risk aversion.
  - *Working Hours (Log)*: contracted weekly hours (robustness).
- Controls motivated by the risk-aversion literature: gender, age, marital status, unemployment, media time, children, training, health, energy-supply worries; state of economy/health/education; trust variables.

Sample distribution | Descriptive statistics | Border vs. non-border means | Variable definitions | Correlations

Empirical Specifications

Difference-in-differences (Probit; marginal effects at means; robust SEs):

$$\begin{aligned}\text{Outcome}_{i,t} = \alpha \quad &+ \quad \beta_1 \,\text{Border with Ukraine}_i \times \text{Post 2014}_t \\ &+ \quad \beta_2 \,\text{Border with Ukraine}_i + \beta_3 \,\text{Post 2014}_t \\ &+ \quad \zeta \mathbb{X}_{i,t} + \lambda_c + \varphi_s + \delta_o + \gamma_e + \varepsilon_{i,t}\end{aligned}$$

$\text{Outcome}_{i,t}$	Working Choice (H1) or Need To Avoid Unsafe Areas (H2)
β_1	Differential post-2014 change for border residents (coefficient of interest)
$\mathbb{X}_{i,t}$	Demographic, "state," and "trust" controls
FEs	Country (λ_c), income source (φ_s), occupation (δ_o), education (γ_e)

- **H2 mechanism test:** re-estimate the Working Choice regression separately for individuals who report an increase in risk aversion vs. those who do not.
- Hypotheses: $\beta_1 < 0$ for labor; $\beta_1 > 0$ for risk aversion; labor effect concentrated in the risk-averse group.

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Result 1: Conflict Uncertainty Reduces Labor Supply

Hypothesis I (Revealed Risk Aversion)

	Working Choice		
	(1)	(2)	(3)
Border with Ukraine × Post 2014	-0.035**	-0.040**	-0.039**
	(0.015)	(0.016)	(0.017)
Border with Ukraine	-0.009	-0.008	-0.009
	(0.010)	(0.010)	(0.012)
Post 2014	0.097***	0.099***	0.084***
	(0.008)	(0.009)	(0.009)
Demographic Controls	Yes	Yes	Yes
State Controls	No	Yes	Yes
Trust Controls	No	No	Yes
Income/Occupation/Education/Country FE	Yes	Yes	Yes
Pseudo R-squared	0.491	0.480	0.494
Observations	49,910	44,404	39,820

- Border residents are 3.5–4.0 pp less likely to work post-2014.
- β_2 insignificant: border and non-border residents *ex-ante* similar.
- Not driven by sickness, unemployment, or dependents (all controlled for).

▸ Full table (all controls) ▸ Working hours (Tobit) ▸ Pre-trends ▸ Coefficients over time

Result 2: Conflict Uncertainty Raises Perceived Risk Aversion

Hypothesis II, Step 1

	Need To Avoid Unsafe Areas		
	(1)	(2)	(3)
Border with Ukraine × Post 2014	0.023***	0.025***	0.025***
	(0.007)	(0.007)	(0.007)
Border with Ukraine	0.009**	0.007	0.005
	(0.004)	(0.004)	(0.005)
Post 2014	-0.044***	-0.039***	-0.040***
	(0.003)	(0.003)	(0.004)
Demographic Controls	Yes	Yes	Yes
State Controls	No	Yes	Yes
Trust Controls	No	No	Yes
Income Sources FE	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes
Country FE	Yes	Yes	Yes
Pseudo R-squared	0.022	0.024	0.026
Observations	46,889	41,680	37,204

- Border residents report a ∼2.5 pp increase in the need to avoid unsafe areas post-2014.
- Consistent with prior evidence that violence/fear raise risk aversion (Callen et al., 2014).
- Unlikely to reflect crime/policing: time-invariant differences absorbed; trust in police controlled for.

Result 3: Risk Aversion Explains the Labor Response

Hypothesis II, Step 2: Split by Reported Risk Aversion

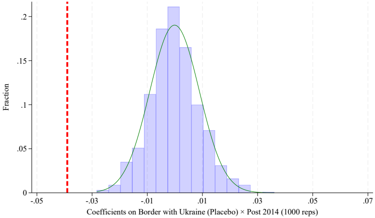
	Working Choice (Need To Avoid Unsafe Areas=1)			Working Choice (Need To Avoid Unsafe Areas=0)		
	(1)	(2)	(3)	(4)	(5)	(6)
Border with Ukraine × Post 2014	-0.045***	-0.052***	-0.051***	0.016	0.021	0.037
	(0.017)	(0.018)	(0.019)	(0.059)	(0.061)	(0.064)
Border with Ukraine	-0.010	-0.007	-0.008	-0.011	-0.035	-0.044
	(0.010)	(0.011)	(0.012)	(0.039)	(0.041)	(0.045)
Post 2014	0.089***	0.091***	0.077***	0.065**	0.075**	0.049
	(0.009)	(0.009)	(0.010)	(0.029)	(0.030)	(0.031)
Demographic Controls	Yes	Yes	Yes	Yes	Yes	Yes
State Controls	No	Yes	Yes	No	Yes	Yes
Trust Controls	No	No	Yes	No	No	Yes
Income Sources FE	Yes	Yes	Yes	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes	Yes	Yes	Yes
Country FE	Yes	Yes	Yes	Yes	Yes	Yes
Pseudo R-squared	0.497	0.486	0.501	0.460	0.449	0.466
Observations	43,141	38,325	34,160	3,748	3,355	3,044

- Risk-averse group (cols. 1–3): -4.5 to -5.2 pp, significant at 1%.
- Non-risk-averse group (cols. 4–6): **no significant effect**.
- Cultural ties or business connections would predict effects in *both* groups ⇒ supports the loss-aversion channel.

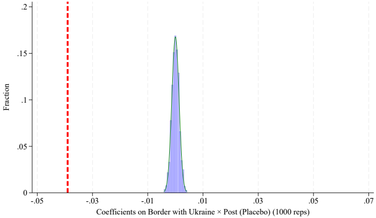
Bootstrapped SEs (small subsample)

Robustness: Placebo Tests

Randomized border locations (1,000 reps)



Randomized conflict timing (1,000 reps)



- True estimate (red line) lies beyond the tail of both placebo distributions.
- Results are not driven by random variation in proximity or by the choice of 2014.

Timing placebo, pre-2014 years only | Anticipation effects

Robustness: Overview

- ✓ **Alternative labor measure:** hours (Tobit) fall 2.1–2.7%. ▸ Table ▸ Alt. clusters
- ✓ **Placebo locations and timing:** true estimate outside placebo distributions. ▸ Figures ▸ Pre-2014 timing
- ✓ **Russia-border falsification:** no effect in regions bordering Russia (EE, FI, LV, LT). ▸ Table
- ✓ **Alternative clustering:** participant $\times$ country/region/ESS round. ▸ Table
- ✓ **Additional controls:** immigration attitudes, air/noise quality, local engagement (residence-tenure proxy). ▸ Table
- ✓ **Regional GDP growth** controls. ▸ Table
- ✓ **Year / ESS-round fixed effects.** ▸ Table
- ✓ **Parallel trends:** pre-2014 interactions $\approx$ 0; pooled post-2014 effect $\approx$ baseline. ▸ Table ▸ Figure

Conclusion

- Conflict uncertainty **re-frames the labor-leisure choice**: when working itself becomes the perceived gamble, individuals work less.
- Using the 2014 Russia-Ukraine conflict and border proximity in PL/HU/SK:
  - Labor supply $\downarrow$ 3.5–4.0 pp (probability of working); hours $\downarrow$ 2.1–2.7%.
  - Perceived risk aversion $\uparrow$ $\sim$2.5 pp.
  - The labor response is concentrated entirely among those whose risk aversion rose $\Rightarrow$ **perceived drives revealed**.
- The *behavioral* response dominates the *precautionary* one when uncertainty is a salient physical (HS&E) threat.
- **Policy:** timely support for residents of regions more directly exposed to conflict risk.

Thank you!

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Appendix

Appendix: Related Literature

- **Kahneman's theories:** heuristics and biases (Tversky & Kahneman, 1974); prospect theory (Kahneman & Tversky, 1979); framing (Tversky & Kahneman, 1981); loss aversion in riskless choice (Kahneman et al., 1991); bounded rationality (Kahneman, 2003, 2011).
- **Applications:** risk perception and affect (Slovic, 1987; Slovic et al., 2004); law and economics (Posner, 1998); flood risk perception (Siegrist & Gutscher, 2006; Sjöberg, 2000).
- **HS&E risks:** toxic plants and housing values (Currie et al., 2015); speed limits and fatalities (Keeler, 1994); environmental regulation costs (Ryan, 2012).
- **Reference-dependent labor supply:** taxi drivers (Crawford & Meng, 2011; Thakral & Tô, 2021); bicycle messengers (Fehr & Goette, 2007).
- **Conflict and preferences:** (Callen et al., 2014; Voors et al., 2012; Bauer et al., 2016); disasters and risk preferences (Hanaoka et al., 2018; Cameron & Shah, 2015).

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Appendix: Derivation of Remark 1 (Gain Domain)

FOC: $F(L_1, \theta) = \alpha w_1 (w_1 L_1 - R_1)^{\alpha-1} - (1 - L_1)^{-\sigma} - \delta f(\theta) K^{\beta} q'(L_1) = 0$

By the Implicit Function Theorem:

$$\frac{dL_1^*}{d\theta} = -\frac{\partial F / \partial \theta}{\partial F / \partial L_1}$$

- **Numerator:** $\dfrac{\partial F}{\partial \theta} = -\delta f'(\theta) K^{\beta} q'(L_1) < 0$ (direct effect: $\theta \uparrow$ raises the MC of working).
- **Denominator (SOC):**

$$\frac{\partial F}{\partial L_1} = \underbrace{\alpha(\alpha - 1) w_1^2 (w_1 L_1 - R_1)^{\alpha-2}}_{<0 \text{ since } \alpha<1} - \underbrace{\sigma(1 - L_1)^{-\sigma-1}}_{>0} - \underbrace{\delta f(\theta) K^{\beta} q''(L_1)}_{\geq 0} < 0$$

- **Result:** $\dfrac{dL_1^*}{d\theta} = -\dfrac{(-)}{(-)} < 0$. Conflict risk $\theta \uparrow \Rightarrow$ optimal labor $L_1^* \downarrow$. ■

The discount factor enters only as a scaling parameter and does not affect the sign. Back

Appendix: Derivation of Remark 1 (Loss Domain)

With $C_1 < R_1$, the FOC becomes:

$$G(L_1, \theta) = \lambda\beta w_1(R_1 - w_1 L_1)^{\beta-1} - (1 - L_1)^{-\sigma} - \delta f(\theta) K^{\beta} q'(L_1) = 0$$

(baseline λ on the MB side; conflict loss function $f(\theta)$ on the MC side).

- **Numerator:** $\dfrac{\partial G}{\partial \theta} = -\delta f'(\theta) K^{\beta} q'(L_1) < 0 \quad$ (identical to the gain domain).
- **Denominator (SOC):** value function convex in losses ($\beta < 1$) $\Rightarrow$ MB slopes *up*; stability requires MC steeper than MB, so $\partial G / \partial L_1 < 0$.
- **Result:** $\dfrac{dL_1^*}{d\theta} < 0$ in the loss domain as well: robust and unambiguous. ■

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Appendix: Sample Distribution Across Countries and Years

	Full sample		Poland		Hungary		Slovakia	
	Obs.	%	Obs.	%	Obs.	%	Obs.	%
2002	3,795	7.524	2,110	11.088	1,685	8.997		
2004	3,228	6.400	1,716	9.018			1,512	11.921
2005	1,498	2.970			1,498	7.999		
2006	3,967	7.865	1,719	9.034	1,364	7.283	884	6.970
2007	1,036	2.054	2	0.011	154	0.822	880	6.938
2008	2,580	5.115	1,449	7.615			1,131	8.917
2009	2,393	4.744	170	0.893	1,544	8.244	679	5.354
2010	4,598	9.116	1,713	9.002	1,560	8.330	1,325	10.447
2011	559	1.108	33	0.173			526	4.147
2012	5,178	10.266	1,879	9.874	1,892	10.103	1,407	11.094
2013	563	1.116	13	0.068	119	0.635	431	3.398
2015	3,307	6.556	1,614	8.482	1,693	9.040		
2016	1,379	2.734	1,379	7.247				
2017	1,919	3.805	310	1.629	1,609	8.591		
2018	977	1.937	977	5.134				
2019	3,250	6.443	513	2.696	1,656	8.842	1,081	8.523
2020	1,994	3.953	1,994	10.479				
2021	3,235	6.414			1,839	9.820	1,396	11.007
2023	4,633	9.185	1,087	5.712	2,115	11.293	1,431	11.283
2024	351	0.696	351	1.845				
Total	50,440	100.000	19,029	100.000	18,728	100.000	12,683	100.000

Poland accounts for 37.73% of the sample. Back

Appendix: Descriptive Statistics

	Obs.	Mean	Std.	Median	Min	Max
Working Choice	50,440	0.502	0.500	1.000	0.000	1.000
Working Hours	41,714	53.374	80.070	40.000	0.000	555.000
Working Hours (Log)	41,714	3.759	0.513	3.714	0.000	6.321
Need To Avoid Unsafe Areas	47,325	0.920	0.272	1.000	0.000	1.000
Border with Ukraine	50,440	0.201	0.401	0.000	0.000	1.000
Post 2014	50,440	0.417	0.493	0.000	0.000	1.000
Interrupted Energy Supply	50,440	0.954	0.210	1.000	0.000	1.000
Female Gender	50,360	0.551	0.497	1.000	0.000	1.000
Age	50,120	47.812	18.511	48.000	14.000	97.000
Marital Status	50,440	0.312	0.463	0.000	0.000	1.000
Born In The Same Country	50,398	0.983	0.128	1.000	0.000	1.000
Citizen Of The Country	50,396	0.996	0.065	1.000	0.000	1.000
Unemployed Past 3 Months	50,440	0.267	0.443	0.000	0.000	1.000
Time Spent On Media	50,440	0.793	0.405	1.000	0.000	1.000
Children At Home	50,270	0.416	0.493	0.000	0.000	1.000
Knowledge/Skills Training	50,440	0.187	0.390	0.000	0.000	1.000
Permanently Sick	50,440	0.029	0.168	0.000	0.000	1.000
State Of Economy	48,756	3.983	2.358	4.000	0.000	10.000
State Of Health Services	49,106	3.785	2.471	4.000	0.000	10.000
State Of Education	46,131	5.041	2.402	5.000	0.000	10.000
Trust In Political Parties	45,403	2.932	2.357	3.000	0.000	10.000
Trust In Country's Parliament	49,130	3.626	2.560	3.000	0.000	10.000
Trust In Politicians	49,276	2.943	2.384	3.000	0.000	10.000
Trust In The Police	49,563	5.202	2.599	5.000	0.000	10.000

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Appendix: Difference-in-Means, Border vs. Non-Border

Full Sample

	Without Border with Ukraine		With Border with Ukraine		Pairwise t-test		
	Obs.	Mean	Obs.	Mean	Obs.	Mean Difference	Std. Error
Working Choice	40,315	0.512	10,125	0.462	50,440	0.050***	0.006
Working Hours	33,545	54.336	8,169	49.426	41,714	4.910***	0.988
Working Hours (Log)	33,545	3.765	8,169	3.736	41,714	0.029***	0.006
Need To Avoid Unsafe Areas	37,693	0.916	9,632	0.935	47,325	-0.019***	0.003
Interrupted Energy Supply	40,315	0.951	10,125	0.964	50,440	-0.013***	0.002
Female Gender	40,258	0.553	10,102	0.541	50,360	0.012**	0.006
Age	40,058	47.802	10,062	47.848	50,120	-0.046	0.206
Marital Status	40,315	0.316	10,125	0.295	50,440	0.021***	0.005
Born In The Same Country	40,282	0.984	10,116	0.983	50,398	0.000	0.001
Citizen Of The Country	40,277	0.996	10,119	0.996	50,396	0.000	0.001
Unemployed Past 3 Months	40,315	0.260	10,125	0.297	50,440	-0.038***	0.005
Time Spent On Media	40,315	0.799	10,125	0.768	50,440	0.031***	0.005
Children At Home	40,180	0.412	10,090	0.435	50,270	-0.024***	0.005
Knowledge/Skills Training	40,315	0.187	10,125	0.187	50,440	-0.000	0.004
Permanently Sick	40,315	0.027	10,125	0.038	50,440	-0.011***	0.002
State Of Economy	38,979	4.028	9,777	3.802	48,756	0.226***	0.027
State Of Health Services	39,439	3.733	9,667	3.996	49,106	-0.263***	0.028
State Of Education	37,013	5.016	9,118	5.143	46,131	-0.128***	0.028
Trust In Political Parties	36,369	2.941	9,034	2.895	45,403	0.047*	0.028
Trust In Country's Parliament	39,285	3.630	9,845	3.607	49,130	0.023	0.029
Trust In Politicians	39,398	2.956	9,878	2.889	49,276	0.067**	0.027
Trust In The Police	39,623	5.206	9,940	5.187	49,563	0.019	0.029

Pre-2014 sample Back

Appendix: Difference-in-Means, Border vs. Non-Border

Pre-2014 Sample

	Without Border with Ukraine		With Border with Ukraine		Pairwise t-test		
	Obs.	Mean	Obs.	Mean	Obs.	Mean Difference	Std. Error
Working Choice	22,999	0.485	6,396	0.444	29,395	0.041***	0.007
Working Hours	18,942	40.735	5,117	40.693	24,059	0.042	0.147
Working Hours (Log)	18,942	3.699	5,117	3.693	24,059	0.005	0.005
Need To Avoid Unsafe Areas	22,496	0.930	6,259	0.938	28,755	-0.008**	0.004
Interrupted Energy Supply	22,999	1.000	6,396	1.000	29,395	0.000	0.000
Female Gender	22,942	0.546	6,373	0.543	29,315	0.003	0.007
Age	22,881	46.191	6,369	46.348	29,250	-0.157	0.261
Marital Status	22,999	0.199	6,396	0.180	29,395	0.019***	0.006
Born In The Same Country	22,981	0.980	6,390	0.984	29,371	-0.004**	0.002
Citizen Of The Country	22,982	0.998	6,394	0.998	29,376	-0.000	0.001
Unemployed Past 3 Months	22,999	0.292	6,396	0.323	29,395	-0.031***	0.006
Time Spent On Media	22,999	0.648	6,396	0.633	29,395	0.015**	0.007
Children At Home	22,864	0.450	6,361	0.479	29,225	-0.029***	0.007
Knowledge/Skills Training	22,999	0.213	6,396	0.213	29,395	0.000	0.006
Permanently Sick	22,999	0.033	6,396	0.045	29,395	-0.012***	0.003
State Of Economy	22,183	3.658	6,170	3.456	28,353	0.202***	0.032
State Of Health Services	22,310	3.745	5,977	3.949	28,287	-0.204***	0.036
State Of Education	21,005	5.107	5,593	5.210	26,598	-0.103***	0.035
Trust In Political Parties	19,389	2.705	5,399	2.733	24,788	-0.028	0.034
Trust In Country's Parliament	22,314	3.445	6,220	3.491	28,534	-0.046	0.035
Trust In Politicians	22,389	2.759	6,224	2.779	28,613	-0.021	0.032
Trust In The Police	22,514	4.875	6,266	4.899	28,780	-0.023	0.036

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Appendix: Correlations

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)	(17)	(18)	(19)	(20)	(21)	(22)	(23)
(1) Working Choice	1.00																						
(2) Working Hours (Log)	0.02***	1.00																					
(3) Need To Avoid Unsafe Areas	-0.03***	-0.02***	1.00																				
(4) Border with Ukraine	-0.04***	-0.02***	0.03***	1.00																			
(5) Post 2014	0.05***	0.11***	-0.06***	-0.03***	1.00																		
(6) Interrupted Energy Supply	-0.03***	0.03***	0.01	0.02***	-0.26***	1.00																	
(7) Female Gender	-0.11***	-0.07***	0.05***	-0.02***	0.01**	0.01**	1.00																
(8) Age	-0.50***	0.05***	0.04***	0.01**	0.11***	0.00	0.05***	1.00															
(9) Marital Status	0.05***	0.05***	-0.01	-0.02***	0.32***	-0.07***	-0.03***	0.13***	1.00														
(10) Born In The Same Country	0.04***	0.01	-0.01**	-0.01*	0.03***	-0.01*	-0.01*	-0.05***	0.01**	1.00													
(11) Citizen Of The Country	-0.01	-0.04***	0.03***	0.00	-0.04***	-0.01	-0.00	-0.01	-0.02***	0.15***	1.00												
(12) Unemployed Past 3 Months	0.03***	-0.03***	0.00	0.04***	-0.12***	0.02***	-0.01**	-0.22***	-0.07***	0.01	0.00	1.00											
(13) Time Spent On Media	-0.05***	0.07***	-0.01*	-0.02***	0.42***	-0.11***	0.02***	0.11***	0.23***	0.00	-0.02***	-0.04***	1.00										
(14) Children At Home	0.03***	-0.01	0.02***	0.02***	-0.11***	0.02***	0.03***	0.06***	0.12***	0.00	-0.01	0.07***	-0.09***	1.00									
(15) Knowledge/Skills Training	0.27***	-0.05***	-0.01***	0.01	-0.11***	0.02***	-0.02***	-0.27***	-0.07***	0.00	0.01**	0.01***	-0.11***	0.01**	1.00								
(16) Permanently Sick	-0.16***	-0.01**	0.01*	0.03***	-0.05***	0.01**	-0.01*	0.06***	-0.04***	-0.01	0.00	0.03***	-0.00	-0.01**	-0.05***	1.00							
(17) State Of Economy	0.05***	0.02***	-0.04***	-0.04***	0.19***	-0.09***	-0.01	0.02***	0.10***	-0.01	-0.01**	-0.12***	0.08***	-0.03***	0.02***	-0.06***	1.00						
(18) State Of Health Services	-0.03***	0.02***	-0.02***	0.04***	0.03***	-0.02***	0.01**	0.02***	0.01***	-0.02***	-0.03***	-0.05***	0.02***	-0.03***	-0.05***	-0.01**	0.41***	1.00					
(19) State Of Education	-0.02***	0.01**	0.01	0.02***	-0.01**	-0.03***	0.02***	-0.01**	0.01**	-0.02***	-0.01	-0.01**	-0.00	0.01	-0.03***	-0.02***	0.40***	0.51***	1.00				
(20) Trust In Political Parties	-0.02***	0.03***	-0.02***	-0.02***	0.14***	-0.01*	0.04***	0.09***	0.07***	-0.02***	-0.02***	-0.12***	0.07***	-0.05***	-0.05***	-0.02***	0.42***	0.35***	0.29***	1.00			
(21) Trust In Country's Parliament	-0.00	0.03***	-0.01	-0.01**	0.13***	-0.03***	0.03***	0.08***	0.08***	-0.02***	-0.02***	-0.10***	0.05***	-0.04***	-0.01**	-0.02***	0.45***	0.33***	0.30***	0.70***	1.00		
(22) Trust In Politicians	-0.02***	0.03***	-0.02***	-0.03***	0.15***	-0.02***	0.05***	0.10***	0.07***	-0.02***	-0.03***	-0.12***	0.07***	-0.04***	-0.05***	-0.02***	0.44***	0.36***	0.31***	0.87***	0.74***	1.00	
(23) Trust In The Police	0.01	0.02***	0.01*	-0.01	0.17***	-0.08***	0.04***	0.06***	0.08***	-0.00	-0.01**	-0.08***	0.07***	-0.03***	-0.01***	-0.02***	0.34***	0.28***	0.28***	0.45***	0.49***	0.49***	1.00

Border with Ukraine: negatively correlated with Working Choice, positively with Need To Avoid Unsafe Areas.

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Appendix: Regions Bordering Ukraine (NUTS Mapping)

Country	Region	Identifier (post-2010)	Obs. (post-2010)
Poland	Lubelskie	PL31 or PL81	688
Poland	Podkarpackie	PL32 or PL82	745
Poland	Podlaskie	PL34 or PL84	384
Hungary	Borsod-Abaúj-Zemplén	HU311	1,011
Hungary	Szabolcs-Szatmár-Bereg	HU323	838
Slovakia	Koický kraj	SK042	916
Slovakia	Preovský kraj	SK041	1,232

- Pre-2010 waves use regional names matched manually to NUTS-2/NUTS-3 (e.g., North Region and North Plain for Hungary).
- Pre-2010 observations: Lubelskie 452, Podkarpackie 431, Podlaskie 237; North Region 796, North Plain 962; Preovský kraj 728, Koický kraj 734.

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Appendix: Key Variable Definitions (ESS Codes)

Variable	Code	Survey question (coding)
Working Choice	pdwrk	In paid work (or away temporarily) during the last 7 days (1 = marked)
Working Hours	wkhct	Total basic/contracted weekly hours in main job, excl. overtime
Need To Avoid Unsafe Areas	impsafe	"Important to live in secure surroundings; avoids anything that might endanger safety" (1 = like me / very much like me)
Interrupted Energy Supply	wrtcfl, wrtratc	Worried that energy supplies could be interrupted by technical failures / terrorist attacks (1 = above 3 on 1–5 scale)
Time Spent On Media	nwsptot, rdtot, tvtot	More than 2.5 hours per average weekday (1 = yes)
State / Trust variables	stfeco, ...	0–10 satisfaction and trust scales

Full questionnaire mapping in the paper (Table Appendix.1). Back

Appendix: Baseline Table with All Controls

	Working Choice		
	(1)	(2)	(3)
Border with Ukraine $\times$ Post 2014	-0.035**	-0.040**	-0.039**
	(0.015)	(0.016)	(0.017)
Border with Ukraine	-0.009	-0.008	-0.009
	(0.010)	(0.010)	(0.012)
Post 2014	0.097***	0.099***	0.084***
	(0.008)	(0.009)	(0.009)
Interrupted Energy Supply	-0.035**	-0.032**	-0.030*
	(0.015)	(0.016)	(0.016)
Female Gender	-0.155***	-0.152***	-0.147***
	(0.007)	(0.007)	(0.007)
Age	-0.004***	-0.003***	-0.002***
	(0.000)	(0.000)	(0.000)
Marital Status	0.051***	0.048***	0.045***
	(0.007)	(0.008)	(0.008)
Born In The Same Country	0.104***	0.116***	0.103***
	(0.025)	(0.028)	(0.029)
Citizen Of The Country	-0.053	-0.051	-0.057
	(0.046)	(0.049)	(0.049)
Unemployed Past 3 Months	-0.027***	-0.030***	-0.028***
	(0.007)	(0.008)	(0.008)
Time Spent On Media	-0.030***	-0.031***	-0.020**
	(0.008)	(0.009)	(0.010)
Children At Home	0.047***	0.047***	0.018**
	(0.006)	(0.007)	(0.007)
Knowledge/Skills Training	0.159***	0.162***	0.152***
	(0.008)	(0.009)	(0.009)
Permanently Sick	-0.515***	-0.543***	-0.533***
	(0.031)	(0.033)	(0.038)
State Of Economy		0.004**	0.006***
		(0.002)	(0.002)
State Of Health Services		-0.006***	-0.004**
		(0.002)	(0.002)
State Of Education		-0.002	-0.002
		(0.002)	(0.002)
Trust In Political Parties			-0.004
			(0.003)
Trust In Country's Parliament			-0.004*
			(0.002)
Trust In Politicians			0.004
			(0.003)
Trust In The Police			0.000
			(0.002)
Income Sources FE	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes
Country FE	Yes	Yes	Yes
Pseudo R-squared	0.491	0.480	0.494
Observations	49,910	44,404	39,820

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Appendix: Alternative Labor Measure, Working Hours (Tobit)

	Working Hours (Log)		
	(1)	(2)	(3)
Border with Ukraine × Post 2014	-0.021**	-0.027**	-0.026**
	(0.010)	(0.011)	(0.011)
Border with Ukraine	-0.011**	-0.008	-0.008
	(0.005)	(0.005)	(0.006)
Post 2014	0.095***	0.098***	0.097***
	(0.005)	(0.006)	(0.006)
Demographic Controls	Yes	Yes	Yes
State Controls	No	Yes	Yes
Trust Controls	No	No	Yes
Income Sources FE	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes
Country FE	Yes	Yes	Yes
Pseudo R-squared	0.055	0.058	0.056
Observations	41,312	37,268	33,734

- Contracted weekly hours fall by 2.1–2.7% for border residents post-2014.
- Tobit with upper bound $\log(168 + 1) = 5.13$.

▸ Alternative clusters ▸ Back

Appendix: Working Hours, Alternative Clustering

	Working Hours (Log)			
	(1)	(2)	(3)	(4)
Border with Ukraine × Post 2014	-0.026**	-0.026**	-0.026**	-0.026**
	(0.011)	(0.011)	(0.011)	(0.011)
Border with Ukraine	-0.008	-0.008	-0.008	-0.008
	(0.006)	(0.006)	(0.006)	(0.006)
Post 2014	0.097***	0.097***	0.097***	0.097***
	(0.006)	(0.006)	(0.006)	(0.006)
Demographic Controls	Yes	Yes	Yes	Yes
State Controls	Yes	Yes	Yes	Yes
Trust Controls	Yes	Yes	Yes	Yes
Income Sources FE	Yes	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes	Yes
Country FE	Yes	Yes	Yes	Yes
Pseudo R-squared	0.056	0.056	0.056	0.056
Observations	33,734	33,734	33,734	33,734
Clusters	Robust	ID × Country	ID × Region	ID × ESS Round

- (1) baseline; (2) participant × country; (3) participant × region; (4) participant × ESS round.

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Appendix: Working Choice, Alternative Clustering

	Working Choice			
	(1)	(2)	(3)	(4)
Border with Ukraine × Post 2014	-0.039**	-0.039**	-0.039**	-0.039**
	(0.017)	(0.017)	(0.017)	(0.017)
Border with Ukraine	-0.009	-0.009	-0.009	-0.009
	(0.012)	(0.012)	(0.012)	(0.012)
Post 2014	0.084***	0.084***	0.084***	0.084***
	(0.009)	(0.009)	(0.009)	(0.009)
Demographic Controls	Yes	Yes	Yes	Yes
State Controls	Yes	Yes	Yes	Yes
Trust Controls	Yes	Yes	Yes	Yes
Income Sources FE	Yes	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes	Yes
Country FE	Yes	Yes	Yes	Yes
Pseudo R-squared	0.494	0.494	0.494	0.494
Observations	39,820	39,820	39,820	39,820
Clusters	Robust	ID × Country	ID × Region	ID × ESS Round

- (1) baseline; (2) participant × country; (3) participant × region; (4) participant × ESS round.

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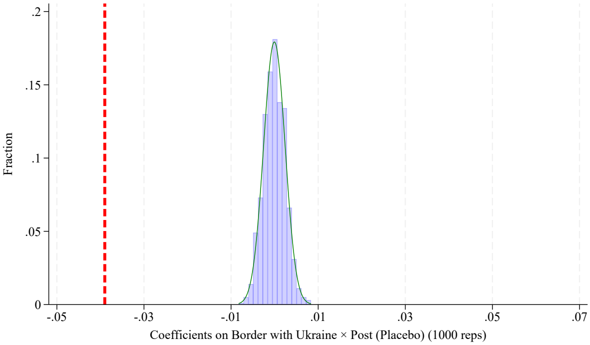
Appendix: Placebo, Randomized Timing Using Pre-2014 Years Only



- Conflict timing randomized over 2002–2013 only (1,000 replications); true 2014 estimate (red line) remains distant from the placebo distribution.

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Appendix: Coefficients of the Interaction Term Over Time

- Each dot: a standalone DiD estimate using year $t \in \{2011, \ldots, 2019\}$ as the Post cutoff (95% CIs).
- The 2014 cutoff corresponds to the baseline estimate.

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Appendix: Anticipation Effects

	Working Choice		
	(1)	(2)	(3)
Border with Ukraine × Post 2011			0.007
			(0.074)
Post 2011			-0.039
			(0.034)
Border with Ukraine × Post 2012		-0.028	-0.035
		(0.031)	(0.078)
Post 2012		0.005	0.042
		(0.014)	(0.035)
Border with Ukraine × Post 2013	0.128*	0.151**	0.150**
	(0.068)	(0.073)	(0.073)
Post 2013	-0.066**	-0.070**	-0.071**
	(0.031)	(0.033)	(0.033)
Border with Ukraine × Post 2014	-0.164**	-0.163**	-0.163**
	(0.068)	(0.068)	(0.068)
Post 2014	0.148***	0.148***	0.149***
	(0.031)	(0.031)	(0.031)
Border with Ukraine	-0.012	-0.007	-0.007
	(0.012)	(0.013)	(0.013)
Demographic Controls	Yes	Yes	Yes
State Controls	Yes	Yes	Yes
Trust Controls	Yes	Yes	Yes
Income Sources FE	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes
Country FE	Yes	Yes	Yes
Pseudo R-squared	0.494	0.494	0.494
Observations	39,820	39,820	39,820

- Adding Post 2011/2012/2013 indicators: the 2014 interaction remains negative and significant (≈ -0.16); no comparable negative effect at earlier cutoffs.

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Appendix: Russia-Border Falsification

	Working Choice		
	(1)	(2)	(3)
Border with Russia × Post 2014	0.003	0.001	-0.001
	(0.015)	(0.016)	(0.017)
Border with Russia	-0.020*	-0.015	-0.015
	(0.011)	(0.011)	(0.013)
Post 2014	0.020***	0.020**	0.023***
	(0.008)	(0.008)	(0.008)
Demographic Controls	Yes	Yes	Yes
State Controls	No	Yes	Yes
Trust Controls	No	No	Yes
Income Sources FE	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes
Country FE	Yes	Yes	Yes
Pseudo R-squared	0.521	0.511	0.522
Observations	56,576	53,160	49,779

- Regions bordering Russia (in Estonia, Finland, Latvia, Lithuania, and Warmińsko-Mazurskie in Poland): **no** post-2014 labor-supply effect.

▸ Sample distribution ▸ Back

Appendix: Sample Distribution, Countries Bordering Russia

	Estonia		Finland		Latvia		Lithuania	
	Obs.	%	Obs.	%	Obs.	%	Obs.	%
2002			2,000	9.487				
2004	1,400	8.563	2,022	9.591				
2005	589	3.602						
2006	641	3.920	1,896	8.993				
2007	876	5.358						
2008	458	2.801	1,929	9.150				
2009	1,203	7.358	266	1.262	1,980	38.984		
2010			1,877	8.903				
2011							1,610	12.902
2012	2,279	13.939	1,883	8.932				
2013	101	0.618	313	1.485			2,011	16.115
2014	2,049	12.532	1,913	9.074				
2015			172	0.816			2,161	17.317
2016	1,806	11.046	1,548	7.343				
2017	212	1.297	375	1.779			2,067	16.564
2018	1,710	10.459	1,499	7.110				
2019	194	1.187	253	1.200	835	16.440	1,704	13.655
2020					1,026	20.201		
2021	1,541	9.425	1,568	7.438			1,599	12.814
2022			8	0.038				
2023			1,516	7.191	462	9.096	1,327	10.634
2024	1,291	7.896	44	0.209	776	15.279		
Total	16,350	100.000	21,082	100.000	5,079	100.000	12,479	100.000

Estonia, Finland, Latvia, and Lithuania. Back

Appendix: Additional Controls

	Working Choice		
	(1)	(2)	(3)
Border with Ukraine × Post 2014	-0.036**	-0.036**	-0.035**
	(0.018)	(0.018)	(0.018)
Border with Ukraine	-0.012	-0.012	-0.012
	(0.012)	(0.012)	(0.012)
Post 2014	0.082***	0.086***	0.088***
	(0.009)	(0.009)	(0.009)
Immigrants Making the Country Better	-0.001	-0.001	-0.001
	(0.002)	(0.002)	(0.002)
Breathing Problem		-0.080**	-0.080**
		(0.039)	(0.039)
Noise Problem		-0.041*	-0.041*
		(0.024)	(0.024)
Local Engagement			0.099***
			(0.027)
Demographic Controls	Yes	Yes	Yes
State Controls	Yes	Yes	Yes
Trust Controls	Yes	Yes	Yes
Income Sources FE	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes
Country FE	Yes	Yes	Yes
Pseudo R-squared	0.496	0.496	0.496
Observations	37,546	37,546	37,546

- (1) perceptions of immigrants; (2) breathing/noise problems (air and noise quality); (3) local engagement (proxy for residential stability).

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Appendix: Split Sample with Bootstrapped Standard Errors

	Working Choice (Need To Avoid Unsafe Areas=1)			Working Choice (Need To Avoid Unsafe Areas=0)		
	(1)	(2)	(3)	(4)	(5)	(6)
Border with Ukraine × Post 2014	-0.045***	-0.052***	-0.051***	0.016	0.021	0.037
	(0.017)	(0.018)	(0.018)	(0.060)	(0.062)	(0.069)
Border with Ukraine	-0.010	-0.007	-0.008	-0.011	-0.035	-0.044
	(0.010)	(0.011)	(0.012)	(0.040)	(0.043)	(0.048)
Post 2014	0.089***	0.091***	0.077***	0.065**	0.075**	0.049
	(0.009)	(0.010)	(0.010)	(0.030)	(0.031)	(0.033)
Demographic Controls	Yes	Yes	Yes	Yes	Yes	Yes
State Controls	Yes	Yes	Yes	Yes	Yes	Yes
Trust Controls	Yes	Yes	Yes	Yes	Yes	Yes
Income Sources FE	Yes	Yes	Yes	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes	Yes	Yes	Yes
Country FE	Yes	Yes	Yes	Yes	Yes	Yes
Pseudo R-squared	0.497	0.486	0.501	0.460	0.449	0.466
Observations	43,141	38,325	34,160	3,748	3,355	3,044

- Results in the split-sample analysis are not driven by the smaller size of the non-risk-averse subsample.

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Appendix: Year or ESS-Round Fixed Effects

	Working Choice		Need To Avoid Unsafe Areas	
	(1)	(2)	(3)	(4)
Border with Ukraine × Post 2014	-0.042**	-0.040**	0.027***	0.027***
	(0.017)	(0.017)	(0.007)	(0.007)
Border with Ukraine	-0.009	-0.010	0.004	0.005
	(0.012)	(0.012)	(0.005)	(0.005)
Post 2014	-0.017	0.100***	-0.045***	-0.045***
	(0.040)	(0.018)	(0.015)	(0.007)
Demographic Controls	Yes	Yes	Yes	Yes
State Controls	Yes	Yes	Yes	Yes
Trust Controls	Yes	Yes	Yes	Yes
Income Sources FE	Yes	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes	Yes
Country FE	Yes	Yes	Yes	Yes
Year FE	Yes	No	Yes	No
ESS round FE	No	Yes	No	Yes
Pseudo R-squared	0.496	0.495	0.031	0.030
Observations	39,820	39,820	37,204	37,204

- Working Choice (cols. 1–2) and Need To Avoid Unsafe Areas (cols. 3–4), with year FEs (1, 3) or ESS-round FEs (2, 4).

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Appendix: Controlling for Regional GDP Growth

	Working Choice			
	(1)	(2)	(3)	(4)
Border with Ukraine × Post 2014	-0.029*	-0.039*	-0.053***	-0.046**
	(0.017)	(0.020)	(0.020)	(0.020)
Border with Ukraine	-0.000	-0.004	-0.001	-0.003
	(0.011)	(0.014)	(0.014)	(0.014)
Post 2014	0.076***	0.082***	-0.042	0.091***
	(0.008)	(0.010)	(0.041)	(0.019)
Changes in Regional GDP	0.059	0.160***	0.414***	0.203***
	(0.045)	(0.056)	(0.136)	(0.065)
Demographic Controls	No	Yes	Yes	Yes
State Controls	No	Yes	Yes	Yes
Trust Controls	No	Yes	Yes	Yes
Income Sources FE	Yes	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes	Yes
Country FE	Yes	Yes	Yes	Yes
Year FE	No	No	Yes	No
ESS round FE	No	No	No	Yes
Pseudo R-squared	0.454	0.493	0.495	0.494
Observations	40,632	31,999	31,999	31,999

- NUTS-2 regional GDP growth (Eurostat); results unchanged.

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Appendix: Parallel Trends, Year-by-Year Interactions

	Working Choice					
	(1)	(2)	(3)	(4)	(5)	(6)
Border with Ukraine × Year 2004	0.018	0.051	0.062	0.011	0.043	0.054
	(0.035)	(0.046)	(0.049)	(0.038)	(0.049)	(0.044)
Border with Ukraine × Year 2005				0.037	0.054	0.056
				(0.048)	(0.051)	(0.046)
Border with Ukraine × Year 2006	0.057*	0.051	0.052	0.050	0.044	0.045
	(0.031)	(0.033)	(0.036)	(0.035)	(0.037)	(0.029)
Border with Ukraine × Year 2007				-0.078	-0.070	-0.063
				(0.051)	(0.054)	(0.049)
Border with Ukraine × Year 2008	-0.032	-0.020	-0.019	-0.038	-0.026	-0.026
	(0.035)	(0.036)	(0.039)	(0.038)	(0.040)	(0.032)
Border with Ukraine × Year 2009				-0.041	-0.058	-0.052
				(0.039)	(0.041)	(0.033)
Border with Ukraine × Year 2010	-0.050*	-0.049	-0.046	-0.056*	-0.055	-0.052**
	(0.029)	(0.030)	(0.034)	(0.033)	(0.035)	(0.026)
Border with Ukraine × Year 2011				-0.023	-0.009	-0.001
				(0.072)	(0.076)	(0.073)
Border with Ukraine × Year 2013				0.102	0.101	0.117*
				(0.068)	(0.071)	(0.067)
Border with Ukraine × Post 2014	-0.040**	-0.045**	-0.041*	-0.046*	-0.051*	-0.048***
	(0.019)	(0.020)	(0.025)	(0.025)	(0.026)	(0.013)
Demographic Controls	Yes	Yes	Yes	Yes	Yes	Yes
State Controls	No	Yes	Yes	No	Yes	Yes
Trust Controls	No	No	Yes	No	No	Yes
Income Sources FE	Yes	Yes	Yes	Yes	Yes	Yes
Occupation FE	Yes	Yes	Yes	Yes	Yes	Yes
Highest Education FE	Yes	Yes	Yes	Yes	Yes	Yes
Country FE	Yes	Yes	Yes	Yes	Yes	Yes
Pseudo R-squared	0.491	0.481	0.495	0.491	0.481	0.495
Observations	49,910	44,404	39,820	49,910	44,404	39,820

- Pre-2014 interactions generally small and insignificant; pooled post-2014 effect negative, significant, ≈ baseline. (1)–(3): ESS wave years; (4)–(6): interview years; 2012 omitted.

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